

**Specimen Mortality rates**

Age	Rates	Age	Rates
20	0.000888	45	0.002874
25	0.000984	50	0.004946
30	0.001056	55	0.007888
35	0.001282	60	0.011534
40	0.001803	65	0.017009

ACTUARIAL VALUATION OF PRMB AS AT 31.03.2022
CERTIFICATES AS PER IND AS 19 (2015)

TABLE 1**Disclosure of Defined Benefit Cost for the Year ending 31st March 2022***(In Cr. Rs.)*

A	Profit & Loss (P&L)	Year ending 31 st March 2022
1	Current Service Cost	13.49
2	Past Service Cost-Plan amendments	278.93
3	Curtailment Cost/(Credit)	-
4	Settlement Cost/(Credit)	-
5	Service Cost	292.42
6	Net interest on net defined benefit liability/ (asset)	19.06
7	Immediate recognition of (gains)/losses-other long term employee benefit plans	-
8	Cost recognized in P&L	311.48
B	Other Comprehensive Income (OCI)	
1	Actuarial (gain)/loss due to DBO experience	-50.08
2	Actuarial (gain)/loss due to DBO assumption changes	32.57
3	Actuarial (gain)/loss arising during period	-17.51
4	Return on plan assets (greater)/less than discount rate	-17.59
5	Actuarial (gain)/loss recognized in OCI	-35.11
C	Defined Benefit Cost	
1	Service cost	292.42
2	Net interest on net defined benefit liability /(asset)	19.06
3	Actuarial (gains)/loss recognized in OCI	-35.11
4	Immediate recognition of (gains)/losses-other long term employee benefit plans	-
5	Defined Benefit Cost	276.38
D	Assumption as at	
1	Discount Rate	6.85%
2	Medical inflation rate	Not available

TABLE 2**Development of Net Balance Sheet position***(In Cr. Rs.)*

A	Profit & Loss (P&L)	Year ending 31 st March 2022
1	Defined Benefit Obligation (DBO)	-597.57
2	Fair value of plan assets (FVA)	358.13



3	Funded status [surplus/(deficit)]	-239.44
4	Effect of Asset ceiling	-
5	Net defined benefit asset/(liability)	-239.44
B	Reconciliation of Net Balance Sheet Position	
1	Net defined benefit asset/(liability) at your end of prior period	-175.09
2	Service cost	-292.42
3	Net interest on net defined benefit liability/(asset)	-19.06
4	Amount recognized in OCI	35.11
5	Employer contributions	212.02
6	Benefit paid directly by the Company	-
7	Acquisitions credit/(cost)	-
8	Divestitures	-
9	Cost of termination benefits	-
10	Net defined benefit asset/(liability) at end of current period	-239.44
C	Assumptions as at	
1	Discount Rate	6.80%
2	Medical inflation Rate	0.00%

TABLE 3
Changes in Benefit Obligations and Assets over the year ending 31st March 2022

(In Cr. Rs.)

A	Change in defined Benefit Obligation (DBO)	Year Ending 31st March 2022
1	DBO at end of prior period	298.65
2	Current service cost	13.49
3	Interest cost on the DBO	34.43
4	Curtailment (credit)/cost	-
5	Settlement (credit)/cost	-
6	Past service cost-plan amendments	278.93
7	Acquisitions (credit)/cost	-
8	Actuarial (gain)/loss- experience	-50.08
9	Actuarial (gain)/loss- demographic assumptions	28.85
10	Actuarial (gain)/loss- financial assumptions	3.72
11	Benefits paid directly by the Company	-
12	Benefits paid from plan assets	-10.42
13	DBO at end of current period	597.57
B	Change in fair Value of Assets	
1	Fair value of assets at end of prior period	123.56
2	Acquisition adjustment	-
3	Interest income on plan assets	15.37
4	Employer contributions	212.02
5	Return on plan assets greater/(lesser) than discount rate	17.59
6	Benefits paid	-10.42
7	Fair Value of assets at the end of current period	358.13



TABLE 4

Additional Disclosure Information

A	Expected benefit payments for the year ending	
1	March 31, 2023	25.92
2	March 31, 2024	28.52
3	March 31, 2025	31.12
4	March 31, 2026	33.74
5	March 31, 2027	36.45
6	March 31, 2028 to March 31, 2032	219.29
7	Beyond 10 years	1300.46
B	Weighted average duration of defined benefit obligation	13 years
C	Accrued Benefit Obligation at 31 March 2022	597.57

TABLE 5

Sensitivity Analysis

	DBO on base assumptions as at 31 March 2022	597.57
	<i>These assumptions are summarized in Appendix C of the report</i>	
A	Discount Rate as at 31 March 2022	6.80%
1	Effect on DBO due to 0.05% increase in Discount rate	-35.55
	Percentage Impact	-6.00%
2	Effect on DBO due to 0.05% decrease in Discount rate	39.38
	Percentage Impact	7.00%

Below is a summary of the active members of the plan:

	Executives	31 st March 2021	31 st March 2022
1	Number of Employees (actives)	2,086	2,257
2	Number of Employees (Inactives)	2,692	2,251
3	Average attained age (years)- Actives	43.64	42.39
4	Average attained age (years)- Inactives	N/A	69.06
5	Average past service (years)- Actives	17.34	15.57
	Non-Executives		
1	Number of Employees (actives)	34,563	33,403
2	Number of Employees (Inactives)	783	5147
3	Average attained age (years)- Actives	45.07	45.34
4	Average attained age (years)- Inactives	N/A	67.99
5	Average past service (years)- Actives	20.63	20.74

Assumption

Assumptions	31 st March 2021	31 st March 2022
Discount Rate	6.85%	6.80%
Medical Inflation Rate	Not Available	0.00%
Mortality Rate -In service	Indian Assured Lives Mortality (2012-14) Ultimate	Indian Assured Lives Mortality (2006-08) Ultimate



Mortality Rate -Post retirement	Not Available	Indian Individual Annuitant's Mortality Table (2012-15)
Average Medical Cost (INR)	Not Available	Executive Employees: Domiciliary Benefit-INR 36,000 p.a. Hospitalisation Benefit- INR 35,000 p.a. Non-Executive Employees: Domiciliary Benefit+ Hospitalisation Benefit combined- INR 18,000 p.a.
Spouse Age Difference	Not Available	Spouse is 5 years younger than Member
Withdrawal Rate	0.30%	0.30%

Specimen Mortality Rates: Indian Assured Lives Mortality (2006-08) Ultimate Table

Age	Rates	Age	Rates
20	0.000888	45	0.002874
25	0.000984	50	0.004946
30	0.001056	55	0.007888
35	0.001282	60	0.011534
40	0.001803	65	0.017009

Specimen Mortality rates: Indian Individual Annuitant's Mortality Table (2012-15)

Age	Rates
60	0.006349
65	0.010070
70	0.016393
75	0.027379
80	0.046730

4. Unrecognized items

a) Contingent Liabilities

- i) Claims against the company not acknowledged as debt

(Rs. in Crs.)

Sl. No.	Particulars	Central Government Dept./ Agencies	State Government Dept./ Agencies and other local authorities	Central Public Sector Enterprises	Others	Total
1	Opening as on 01.04.2021	1,901.86	17,291.24	-	467.74	19,660.84
2	Addition during the year	249.78	717.26	-	85.19	1,052.23
3	Claims settled during the year					
	a. From opening balance	1.85	32.19	-	10.86	44.90
	b. Out of addition during the year	0.01	-	-	-	0.01
	c. Total claims settled during the year (a+b)	1.86	32.19	-	10.86	44.91
4	Closing as on 31.03.2022	2149.78	17,976.32	-	542.07	20,668.16

Demand for alleged, Production of coal beyond Environmental Clearance Limit:

Following the judgment of the Hon'ble Supreme Court of India in the case of Common Cause vs. UOI and Others (W.P. (C) No. 114 of 2014), certain District Mining Officers of Jharkhand, issued demand notices in respect of 42 projects, alleging that production in those projects exceeded the available Environmental Clearances limits.

The Company has filed revision petition against the above demands, before the Hon'ble Coal Tribunal, Ministry of Coal, Govt. of India, the adjudicating authority under the MMDR, Act. The



Revisional Authority Ministry of Coal, Govt. of India in their interim order dated 16.01.2018 has admitted the revision application and stayed the execution of the demand order of Rs.13,568.50 Crores (P.Y. Rs. 13,586.50 Crore) till further order.

The demand notice was issued in favour of CCL in respect of 42 projects and the issue is being dealt by Environmental Department of CCL, hence, the same is kept under contingent liability of CCL at HQ.

Nature wise details of contingent liability is shown below:

(Rs. in Crs.)

Sl.No.	Particulars	31.03.2022	31.03.2021
1	Central Government :		
	Income tax	1,050.80	809.10
	Central Excise	153.83	134.81
	Clean Energy Cess	941.66	954.78
	Service Tax	3.51	2.39
	Others	-	-
	Sub - Total	2,149.78	1,901.08
2	State Government and Local Authorities:		
	Royalty	2,365.64	1,715.72
	Environment Clearance/ Holding tax	13,568.50	13,568.50
	Sales Tax / VAT	1,452.85	1,463.21
	Entry Tax	25.00	25.00
	Electricity Duty	88.95	97.33
	MADA & Others	475.36	421.48
	Sub - Total	17,976.32	17,291.24
3	Central Public sector Enterprises		
	Arbitration Proceedings	-	-
	Suit against the company under litigation	-	-
	Others	-	-
	Sub- Total	-	-
4	Others :		
	Miscellaneous	542.07	467.74
	Sub- Total	542.07	467.74
	TOTAL	20,668.16	19,660.06

Adjustment of Rs 8.16 Cr., which is related to previous year has been included in addition/settlement column in this year.

II. Guarantee

Bank guarantee issued as on 31.03.2022: Rs. 433.11 Crores (P.Y Rs. 433.11 Crores).

III. Letter of Credit

Outstanding Letters of Credit as on 31.03.2022: NIL Crores (P.Y Rs. 6.42 Crores).

b) Commitments

Estimated amount of contracts remaining to be executed on capital account and not provided for as on 31.03.2022: Rs. 4119.93 Crores (P.Y Rs. 816.36 Crores).

Other Commitment as on 31.03.2022: Rs. 9,783.74 Crores (P.Y Rs. 7,890.00 Crores).



5. Group Information

Name	Principal activities	Country of Incorporation	% Equity Interest	
			31st March, 2022	31st March, 2021
Coal India Limited (Holding Company)	Mining & Production of Coal	India	100 %	100 %
Jharkhand Central Railway Ltd. (Subsidiary Company)	Development of Railway Infrastructure in Jharkhand	India	73.67 %	73.67 %

Additional Information, as required under Schedule III to the Companies Act, 2013, of enterprises consolidated as Subsidiary / Associates / Joint Ventures.

Name of Enterprises	Net Assets i.e. Total Assets minus Total Liabilities		Share in profit or loss		Share in Other Comprehensive Income	
	As % of consolidated net assets	Amount (Rs. In Crore)	As % of consolidated Profit or Loss	Amount (Rs. In Crore)	As % of consolidated Other Comprehensive Income	Amount (Rs. In Crore)
Central Coalfields Limited	95.00	8,066.46	99.91	1,645.53	100.00	(51.39)
Jharkhand Central Railway Limited	5.29	448.77	0.12	2.02	-	-
Less:- Minority Interests in all subsidiaries	0.29	24.45	0.03	0.53	-	-
Total	100.00	8,490.78	100.00	1,647.02	100.00	(51.39)

6. Other Information

a) Provisions

The position and movement of various provisions as per Ind AS-37 except those relating to employee benefits which are valued actuarially, as on 31.03.2022 are given below:

(Rs. in Crs.)

Provisions	Opening Balance as on 01.04.2021	Addition during the year	Write back/Adj/ Paid during the year	Unwinding of Discount	Closing Balance as on 31.03.2022
Note 3:- Property, Plant and Equipments :					
Impairment of Assets :	63.49	9.30	(10.53)	-	62.26
Note 4:- Capital Work in Progress :					
Against CWIP :	15.54	5.06	(2.32)	-	18.28
Note 5:- Exploration And Evaluation Assets :					
Provision and Impairment :	1.11	-	(0.65)	-	0.46
Note 8:- Loans :					
Other Loans :	--	-	-	-	-
Note 9:- Other Financial Assets:					
Other Deposits and Receivables	--	-	-	-	-
Security Deposit for utilities	-	-	-	-	-
Current Account with Subsidiaries	-	-	-	-	-
Claims & other receivables	15.80	-	(1.51)	-	14.29
Note 10 :-Other Non-Current Assets					
Capital Advance	0.16	-	-	-	0.16



(Rs. in Crs.)

Provisions	Opening Balance as on 01.04.2021	Addition during the year	Write back/Adj/ Paid during the year	Unwinding of Discount	Closing Balance as on 31.03.2022
Note 11:- Other Current Assets					
Advances for Revenue	0.53	-	-	-	0.53
Advance payment of statutory dues	0.89	-	-	-	0.89
Other Advances and Deposits	19.12	1.59	-	-	20.71
Note13:-Trade Receivables :					
Provision for bad & doubtful debts:	288.26	-	-	-	288.26
Note 21 :- Non-Current & Current Provision :					
Ex- Gratia	244.13	250.70	(244.13)	-	250.70
Performance Related Pay	131.90	112.51	(66.34)	-	178.07
Provision for National Coal Wage Agreement X	-	-	-	-	-
Provision for Executive Pay Revision	-	-	-	-	-
Others	-	-	-	-	-
Site Restoration/Mine Closure	924.17	-	(23.85)	81.77	982.09

b) Segment Reporting

The company is primarily engaged in a single segment business of production and sale of Coal. The income from interest and other income is less than 10% of the total revenue; hence no separate segment is recognized for the same.

c) Earnings per share

Sl. No.	Particulars	For the year ended 31.03.2022	For the year ended 31.03.2021
(i)	Net profit after tax attributable to Equity Share Holders	1,698.41	1,222.23
(ii)	Weighted Average no. of Equity Shares Outstanding	94 Lakhs	94 Lakhs
(iii)	Basic and Diluted Earnings per Share in Rupees (Face value Rs.1000/-per share)	1,806.82	1,300.24

d) Related Party Disclosures

Post-Employment Benefit Fund:

- Group Gratuity Cash Accumulation Plan with LIC.
- New Group Gratuity Cash Accumulation Plan with LIC (for employees joining after 01.04.2014).
- New Group Leave Encashment Scheme with LIC.
- Coal Mines Provident Fund (CMPF).
- Contributory Post-Retirement Medical Scheme for Executive Trust
- CIL Executive Defined Contribution Pension Scheme-2007

A. List of Related Parties

i) Holding Company

Coal India Limited

ii) Sister Companies

- Eastern Coalfields Limited (ECL)



2. Bharat Coking Coal Limited (BCCL)
3. Western Coalfields Limited (WCL)
4. South Eastern Coalfields Limited (SECL)
5. Northern Coalfields Limited (NCL)
6. Mahanadi Coalfields Limited (MCL)
7. Central Mine Planning and Design Institute Limited (CMPDIL)

iii) Subsidiary Company

Jharkhand Central Railway Limited (JCRL)

(Rs. in Crs.)

Name of Related Parties	Loan to Related Parties	Loan from Related Parties	Apex Charges	Rehabilitation Charges	Lease Rent In-come	Interest on Funds parked	IICM charges	Other / Investment	Current Account Balances (payable/receivable)	Out-standing Balances (payable/receivable)
Coal India Limited (CIL)	-	-	147.09	43.11	-	-	-	316.17	(57.66)	-
Central Mine Planning and Design Institute Limited (CMPDIL)	-	-	-	-	-	-	-	135.18	-	64.84*
IICM Charges	-	-	-	-	-	-	1.70	-	-	1.84
Jharkhand Central Railway Limited (JCRL)	280.90**	-	-	-	-	-	-	-	-	-

*Outstanding Balance payable to CMPDIL amounting to Rs. 64.84 Cr is including GST as original bill has not yet been received. Amount excluding GST will come to Rs. 76.52 Cr.

*** CCL Board in its 508th Board Meeting held on 06.1.2021 recommended for conversion of advance of Rs 136.59 Cr into interest free loan to JCRL. CCL Board also approved for release of additional Rs 144.31 Cr. as interest free loan. However, as per provision of Ind AS 32 it has been considered as Investment in Equity.

iv) Key Managerial Personnel

Name	Designation	W.e.f
Shri Mallikharjuna Prasad Polavarapu	Chairman-cum-Managing Director	01.09.2020
Shri Mallikharjuna Prasad Polavarapu (on additional Charge basis)	Director (Technical/Operations)	01.01.2022
Shri S.K. Gomasta	Director (Technical/P&P)	01.11.2021
Shri K.R. Vasudevan	Director (Finance)	01.07.2021
Shri PVKR Mallikarjuna Rao	Director (Personnel)	23.07.2021
Ms. Santosh, Dy. Director General, MoC	Government Nominee Director	03.01.2022
Shri Vinay Ranjan	Government Nominee Director	05.08.2021
Mrs. Jajula Gowri	Independent Director	10.07.2019
Shri Harbans Singh	Independent Director	10.07.2019
Shri Ramesh Kumar Soni	Independent Director	01.11.2021
Shri Shashank Shekhar Jha	Director	15.06.2018
Shri Ramesh Kumar Jha	Director	01.01.2022



Name	Designation	W.e.f
Shri Abhijit Narendra	Director	20.01.2020
Shri Ravi Shankar Bidarthi	Director	02.03.2020
Shri Ashok Kumar Goyal	Director	01.10.2021
Shri Pranav Kumar	Director	12.10.2021
Shri Pradip Kumar Singh	CFO	29.01.2022
Shri Ravi Prakash	Company Secretary	13.07.2017

Remuneration of Key Managerial Personnel

(Rs. in Crs.)

Sl. No.	Payment to CMD, Whole Time Directors and Company Secretary	For the year ended 31.03.2022	For the year ended 31.03.2021
i)	Short Term Employee Benefits		
	Gross Salary	1.49	3.36
	Medical Benefits	-	0.01
	Perquisites and other benefits	-	-
ii)	Post-Employment Benefits		
	Contribution to P.F. & other fund	0.12	0.16
	Actuarial valuation of Gratuity	0.12	0.49
	Actuarial valuation Leave Encashment	0.48	0.81
	Contribution to NPS	0.07	0.09
iii)	Termination / Retirement Benefits	0.79	0.00
	TOTAL	3.07	4.92

Note:

Besides above, whole time Directors have been allowed to use company cars for private journey upto a ceiling of 1000 KMs on payment of Rs.2000 per month as per service conditions.

Payment to Independent Directors

(Rs. in Crs.)

Sl. No.	Payment to Independent Directors	For the year ended 31.03.2022	For the year ended 31.03.2021
i)	Sitting Fees	0.21	0.29

Balances Outstanding with Key Managerial Personnel.

(Rs. in Crs.)

Sl. No.	Particulars	As on 31.03.2022	As on 31.03.2021
i)	Amount Payable	-	-
ii)	Amount Receivable	-	-

e) Recent Accounting Pronouncements

The Company has incorporated necessary amendments in its financial statements in compliance of G.S.R. (E). Notification dated 24th March 2021 which inter-alia states that- In exercise of the powers conferred by sub-section (1) of section 467 of the Companies Act, 2013 (18 of 2013), the Central Government hereby makes the further amendments in Schedule III to the said Act with effect from 1st day of April, 2021. The Company has evaluated the amendment and there is no impact on its financial statements.



Ministry of Corporate Affairs ("MCA") notifies new standard or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. On March 23, 2022, MCA vide GSR 255(E) amended the Companies (Indian Accounting Standards) Amendment Rules, 2022, applicable from April 1st, 2022. The Company has evaluated the amendment and there is no impact on its financial statements."

f) Goods procured by Coal India Ltd. on behalf of Subsidiaries

As per existing practice, goods purchased by Coal India Ltd. on behalf of subsidiary companies are accounted for in the books of respective subsidiaries directly.

g) Insurance and escalation claims

Insurance and escalation claims are accounted for on the basis of admission/final settlement.

h) Provisions made in the Accounts

Provisions made in the accounts against slow moving/non-moving/obsolete stores, claims receivable, advances, doubtful debts etc. are considered adequate to cover possible losses.

i) Current Assets, Loans and Advances etc.

In the opinion of the Management, assets other than fixed assets and non-current investments have a value on realisation in the ordinary course of business at least equal to the amount at which they are stated.

j) Current Liabilities

Estimated liability has been provided where actual liability could not be measured.

k) Balance Confirmations

Balance confirmation/reconciliation is carried out for cash & bank balances, certain loans & advances, long term liabilities and current liabilities. Provision is taken against all doubtful unconfirmed balances.

l) Significant accounting policy

i) Significant accounting policy (Note-2) has been prepared to elucidate the accounting policies adopted by the Company in accordance with Indian Accounting Standards (Ind ASs) notified by Ministry of Corporate Affairs (MCA) under the Companies (Indian Accounting Standards) Rules, 2015.

ii) Change in accounting policy

For better understanding of the users of the financial statements, Significant Accounting Policy has been modified/rephrased in section 2.12 Intangible Assets and 2.18 Employee Benefits 2.24.2.3 Estimates and Assumptions. However, there is no retrospective financial impact as well as no impact on Financials Statements as at 31.03.2022 due to aforesaid change. Please also refer Clause 7.24 of Note -38 -Additional Notes to the Financial Statements as under for changes in accounting policy.

Significant accounting policy (Note-2) has been prepared to elucidate the accounting policies adopted by the Company in accordance with Indian Accounting Standards (Ind ASs) notified by Ministry of Corporate Affairs (MCA) under the Companies (Indian Accounting Standards) Rules, 2015.



Table of Change in Accounting Policy

Broad category	Old Accounting Policy	New Accounting policy
2.12 Intangible Assets	Cost of software recognized as intangible asset, is amortized on straight line method over a period of legal right to use or three years, whichever is less; with a nil residual value.	Lines Deleted
2.18.1 Short- term Benefit	All Short-term employee benefits are recognized in the period in which they are incurred.	Short-term employee benefits are employee benefits (other than termination benefits) that are expected to be settled wholly before twelve months after the end of the annual reporting period in which the employees render the related service. All short- term employee benefit are recognized in the period in which the services are rendered by employees.
	A defined contribution plan is post- employment benefit plan for provident fund and pension under which the company pays fixed contribution into fund maintained by a separate statutory body (Coal Mines Provident Fund) constituted under and enactment of law and the company will have no legal or constructive obligation to pay further amounts.	A defined contribution plan is a post- employment benefit plan under which the company pays fixed contribution into fund maintained by a separate body and the company will have no legal or constructive obligation to pay further amounts.
2.18.3 Other long-term em- ployee benefits	Certain other employee benefits namely benefits on account of LTA, LTC, Life Cover Scheme, Group Personal Accident insurance Scheme settlement allowance, post –retirement medical benefit scheme and compensation to dependents of deceased in mine accidents etc. are also recognized on the same basis as described above for defined benefits plan. These benefits do not have specific funding.	Other long- term employee benefits are all employee benefits other than short- term employee benefits, post- employment benefits and termination benefits.
		Other long- term employee benefits include items which are not expected to be settled wholly before twelve months after the end of the annual reporting period in which the employees render the related service. For other long- term employee benefits, net total of the following amounts is recognized in the statement of profit or loss: (a) Service Cost (b) Net interest on the net defined benefit liability (asset) (c) Re-measurements of the net defined benefits liability (assets)
2.24.2.3	Defined benefit plans	2.24.2.3 Defined benefit plans
		The cost of the defined benefit plan and other post –employment medical benefits and the present value of the obligation are determined using actuarial valuations. An actuarial valuation involves making various assumption that may differ from actual developments in the future. These includes the determination of the discount rate; future salary increases and mortality rates.



Broad category	Old Accounting Policy	New Accounting policy
		Due to the complexities involved in the valuation and its long-term nature, a defined benefit obligation is highly sensitive to changes in these assumption. All assumption are reviewed each reporting date. The parameter most subject to change is the document rate. In determining the appropriate discount rate for plans operated in India, the management considers the interest rates of government bonds in currencies consistent with the currencies of the post- employment benefit obligation.
		The mortality rate is based on publicly available mortality tables of the country. Those mortality tables tend to change only at interval in response to demographic changes.

m) Leases

- ECFD in its 67th Meeting held on 12.11.2020 has approved for termination of contract agreement between CCL & M/s Imperial Fastners Pvt. Limited dated 14.10.2005 for operation & maintenance of Kathara Captive Power Plant of 2X10 MV capacity.
- Punjab State Electricity Board, in terms of lease agreement, has been granted a right to use 15.50 acres of land of the company. The cost of gross carrying amount of the asset is Rs. 7.90 Crores (PY Rs. 7.90 Crore) and progressive depreciation there on is Rs. 7.90 Crores (PY Rs. 7.90 Crore) and WDV is Nil (PYRs. Nil). The future minimum lease payment receivable in aggregate for balance period of lease is Rs. 2.79 Crores. The details of future lease payments receivable are as under:

(Rs. in Crs.)

Particulars		As at 31.03.2022	As at 31.03.2021
(I)	Not later than one year	0.19	0.19
(II)	Later than one year and not later than fiveyears	0.77	0.77
(III)	Later than five years and till the period oflease	1.83	2.02
	Total	2.79	2.98

- EIPL, in terms of lease agreement, has been granted a right to occupy and use the Land of the company. The cost of gross carrying amount of the asset is Rs. 4,968 (PY Rs. 4,968) and progressive depreciation there on is Rs. 4,968 (PY Rs. 4,968) and WDV is Nil (PY Rs. Nil). The future minimum lease payment receivable in aggregate for balance period of lease is Rs.0.96 Lakhs. The details of future lease payments receivable are as under:

(Rs. in Lakhs)

Particulars		As at 31.03.2022	As at 31.03.2021
(I)	Not later than one year	0.12	0.12
(II)	Later than one year and not later than fiveyears	0.48	0.48
(III)	Later than five years and till the period oflease	0.36	0.48
	Total	0.96	1.08

n) Segment Reporting

In accordance with the provisions of Ind AS 108 'operating segment', the operating segment used for presenting segment information are identified based on internal report used by Board to allocate resources to the segment and assess their performance. The Board is the group of Chief operating decision maker within the meaning of Ind AS 108.



The Board considers a business from the prospect of significant product offering and accordingly has decided that presently there is one single reportable segment being sale of Coal. Information of financial performance and assets are presented as the consolidated information in the statement of profit and loss and balance sheet.

Revenue by destination is as follows:

(Rs. in Crs.)

Particulars	India	Other countries
Revenue (Net)	12,352.13	NIL

Revenue by customer is as follows:

(Rs. in Crs.)

Customers having more than 10% of Revenue (Net)	Amount	Country
Customer - 1	4,578.94	India
Customer - 2	1,374.41	
Others	6,398.78	
Total Revenue (Net)	12,352.13	

Current Assets by location are as follows:

(Rs. in Crs.)

Particulars	India	Other countries
Current Assets	8,977.75	NIL

0) Disaggregated Revenue information

(Rs. in Crs.)

Particulars	For the year ended 31.03.2022	For the year ended 31.03.2021
Types of Goods or Service		
- Coal	12,352.13	10,774.32
- Others	-	-
Total Revenue from Contract with Customers	12,352.13	10,774.32
Types of Customers		
- Power Sector	8,444.78	7,949.34
- Non-Power Sector	3,907.35	2,824.98
- Others or Services (CMPDIL)	-	-
Total Revenue from Contract with Customers	12,352.13	10,774.32
Types of Contracts		
- FSA	10,053.58	7,255.95
- E-Auction	2,298.55	3,518.37
- Others	-	-
Total Revenue from Contract with Customers	12,352.13	10,774.32
Timing of Goods or Services		
- Goods transferred at a point of time	12,352.13	10,774.32
- Goods transferred over time	-	-
- Services transferred at a point of time	-	-
- Services transferred over time	-	-
Total Revenue from Contract with Customers	12,352.13	10,774.32

**P) Ratios**

Ratios	For the year ended 31.03.2022	For the year ended 31.03.2021
Current Ratio	1.37	1.41
Inventory Turnover Ratio	9.36	7.64
Receivable Turnover Ratio	5.51	4.53
Trade Payable Turnover Ratio	1.88	1.85
Net Capital Turnover Ratio	1.54	1.55
Net Profit Ratio(%)	13.75	11.35
Return on Capital Employed	0.15	0.15
Return on Equity (ROE)	0.21	0.18
Return on Investment(ROI)		
(a) ROI on Equity Investment in Unlisted Subsidiaries	0.00	0.00
(b) ROI on Mutual fund	0.28	0.04
(c) ROI on deposits (with Banks, FIs incl ICDs)	0.04	0.04

Current Ratio: The Current ratio is a liquidity ratio the measures the current resources to meet its short- term obligations. Current ratio has been calculated as Current Assets divided by current liabilities.

Inventory Turnover Ratio: Inventory turnover is a financial ratio showing how many times inventory has been sold during a given period. Inventory Turnover is calculated by Divided Cost of Goods Sold/ Average value of Inventory. Where, Cost of Goods Sold = (Total Expenditure – Finance cost – Write off- provision –Corporate Social Responsibility Expenses- Stripping Activity Adjustment).

Receivables Turnover Ratio: The receivables turnover ratio is an accounting measure used to quantify a company's effectiveness in collecting its accounts receivable, or the money owed by customers. Account receivables Turnover = Gross Credit Sales/ Average trade recivables.

Trade Payable Turnover Ratio: Trade payable turnover shows how many times a company pays off its accounts payable during a period. Trade Payables turnover Ratio = Total Purchases/ average Trade payables).

Net Capital Turnover: Net Capital turnover is the measure that indicate organization's efficiency in relation to the utilization of capital employed in the business and it has been calculated as a ratio of total annual turnover divided by the total amount of stockholder's equity (Share Capital+ other equity).

Net Profit Ratio: Net profit as a percentage of Net Sales.

Return on Capital Employed: Earnings before interest and text (EBIT) / Capital employed, where capital employed is total of Assets- current liabilities.

Return on equity Ratio: Return on equity (ROE) IS a measure of financial performance calculated by dividing net income by Average Shareholder's equity. Where Net income is Profit after tax for the period, average Shareholder's equity = (Opening Equity + Closing Equity)/2.

Return on Investment: Return on Investment (ROI) is a financial ratio used to calculate the benefit received by the company in relation to its investment cost. The higher the ratio, the greater the benefit earned.

- ROI on Equity Investment in Unlisted Subsidiaries: Dividend / Average Investment in Equity of Subs.
- ROI on Mutual fund = Dividend + Capital gain + Fair value gain (Loss) / Average Investment.
- ROI on deposit (with Bank, FDs incl ICDs) = Interest income / Average Investment.

7. GENERAL

- Refund/Adjustment of tax from Tax Authorities are accounted for on cash basis. Additional demand for Income Tax, Royalty, Cess, Sales Tax, Vat /Entry Tax etc. are accounted for after receipt of final order except as otherwise not recognized under IND AS-37.



7.2 The Government of Jharkhand has demanded Royalty for Rs. 2.79 Crores (PY Rs. 2.79 Crore) in respect of 9 LT non-vendable coal at Rajrappa Area written-off in the year 1989. The company (CCL) preferred an appeal before Commissioner of Mines, Jharkhand but the same was rejected. On rejection, the company filed writ petition WP 1754(c) of 2014 before Hon'ble High Court of Jharkhand and the said matter was referred to JHALSA for mediation. However, no consensus was reached between the parties thus, the mediation failed. The information of the same was made to the high court. Last hearing date was 30.09.2021.

7.3 (a) There is a long pending dispute over capitalization cost of Rajrappa and Giddi Captive Power Plant, commissioned by EIPL on Built Own and Operate (BOO) basis and the dispute is pending in Civil Appeal No. 7403 of 2009, filed by the Company before the Hon'ble Supreme Court against the Order dated 31.07.2009 of the Jharkhand State Electricity Regulatory Commission duly confirmed subsequently by the Appellate Tribunal also.

(b) Pursuant to Interim Orders of the Hon'ble Supreme Court dated 14.09.12 and 23.11.12 passed in the said Appeal, the Company accounted for a liability of Rs. 94.33 Crores. in 2012-13 upto the period March, 2008. Out of which Rs. 83.03 Crores was paid to EIPL (erstwhile DLF Ltd) as 25% deemed energy charges during the said period. Further, an ad-hoc payment of Rs.75 Crores and Rs.25 Crores were also made on 20.11.13 and 10.01.14 respectively as per directives of the Hon'ble Supreme Court. As directed by the Hon'ble Supreme Court revised amount payable from April'08 to March'14 was calculated based on the methodology adopted by JSERC in determining the revised tariff up to the period March' 08. Accordingly, an amount of Rs.23.25 Crores was provided during the financial year 2013-14 in addition to Rs. 94.33 Crores, which was already provided in the Financial Statements of 2012-13. For the financial year 2014-15, additional liability of Rs. 3.26 Crores has been provided. For the financial year 2015-16 additional liability of Rs. 0.26 Crores has also been provided. The details of balance receivable amount from EIPL are as under:

(i) Differential Tariff for the period upto March'08-in respect of which liability has been provided in the Financial Statements of 2012-13.	Rs. 94.33 Crores
(ii) Differential Tariff for the period April'08- to March'14 in respect of which liability has been provided in the year 2013-14.	Rs. 23.25 Crores
(iii) Old keep back amount in respect of deemed energy charges	Rs. 31.36 Crores
(iv) Differential tariff for the year 2014-15	Rs. 3.26 Crores
(v) Differential tariff for the year 2015-16 (A/C-Rajrappa Area)	Rs. 0.26 Crores

	Rs. 152.46 Crores
Less : Ad-hoc payment (as per Order of the Hon'ble Supreme Court)	Rs. 183.03 Crores
Net Balance amount (shown in Note-9 under the head Other Receivables)	Rs. 30.57 Crores

However, EIPL has submitted their demand for Rs.302.63 Crores on 17.09.2012 including Rs. 134.20 Crores on account of interest on delayed payment which is beyond the purview of PPA and the matter is pending before the Hon'ble Supreme Court wherein it was listed for hearing in Oct-21.

(c) As per clause 1.18.3 of the Power Purchase Agreement with M/s. EIPL, from the date of expiry of one year from commissioning of the respective power plant, increase/decrease of fuel component of tariff due to variation in fuel cost shall be determined. The initial price of rejects as per clause 1.14 of PPA was Rs. 90 per tonne.

Accordingly, calculation was made as per clause 1.18.3 of PPA and additional revenue receivable on account of revision in price of rejects net off with additional tariff payable on account of revised tariff due to increase in fuel cost was considered in the Financial Statements for the year 2013-14 and supplementary bill to EIPL was also raised.



Subsequently, during the financial year 2014-15 the price of rejects was again revised based on the recommendations of the CCL standing committee of Sales and Marketing department and the same was communicated to Director(Operation) of DLF Ltd. vide letter Ref. No. GM(E&M)/DLF/14/ 3530-36 dated. 17.11.2014. As per letter, G grade slack coal price which was the lowest grade under UHV system of pricing applicable prior to 01.01.2012 became chargeable for the period from July,2000 to December,2011 from EIPL. Consequent upon the issue of above letter, Sales bill and power tariff both were revised.

As on 31.03.2016, the amount receivable from EIPL on account of supply of rejects after adjusting enhanced tariff was Rs.38.69 Crores. Further a provision of Rs. 1.64 Cr. was made in the year 2016-17 making total provision to Rs. 40.33 Cr. Due to non-payment of the same, the following action has been taken by CCL.

As per clause 2.6 of the Power Purchase Agreement dated. 8th February, 1993, in the event of any dispute arising out of or in relation to the agreement, the same shall be referred to the sole arbitration of an arbitrator mutually acceptable to CIL & EIPL as per provisions of Arbitration Act. However, as the parties to the agreement failed to mutually agree to the appointment of an arbitrator, the petitioner (CCL) was left with no alternative but to move to the Hon'ble High Court for appointment of an arbitrator in exercising powers under section 11(6) of the Arbitration and Conciliation Act, 1996. As such the Arbitration Application was filed on 7th April, 2016. The Hon'ble High Court of Jharkhand during 2017-18, has appointed Ld. Arbitrator as per Agreement to settle the dispute. Hearing is still pending before Ld. Arbitrator.

7.4 Theft of goods during the year is Rs.0.25 Crores (Previous year Rs.0.71 Crores).

7.5 Compensation Receivable in terms of "Fuel Supply Agreement" (FSA) is accounted for on receipt basis.

7.6 Lease agreement with M/s. IFPL was entered in the year 2005 for a period of 20 years, and is valid up to 2025. As per Agreement, the company will supply washery rejects and IFPL will generate power and supply to Kathara Area. As per the provisions of Lease agreement, IFPL is required to pay Rs. 32 Lakhs per month as Lease rent. IFPL has suspended its operation from July 2018 and also not making payment of Lease rent. As a result, a provision to the tune of Rs.1.60 Crores has been made during the year 2018-19 as the differential amount of lease rental receivables amounting to Rs.4.02 Crores and Power expenses payable to IFPL for Rs. 2.42 Crores. Further provision of Rs.6.72 Crores has also been made towards Lease rental receivable.

7.7 In terms of Memorandum of Understanding signed on 07.05.2015 between Central Coalfields Limited (CCL), IRCON International Limited (IRCON) and the Govt. of Jharkhand (GoJ) for development, financing and implementation of Railway Infrastructure works in the State of Jharkhand, a Subsidiary Company named as "Jharkhand Central Railway Limited" (JCRL) was incorporated on 31.08.2015 under the Companies Act, 2013 with an authorized capital of Rs. 5.00 Crores, which has subsequently been increased to Rs.500.00 Crores. The committed equity share holding pattern, as per MOA, of CCL, IRCON International Limited and Govt. of Jharkhand is 64%, 26% and 10% respectively. As on Balance sheet date, JCRL has allotted shares to the value of Rs.64.63 Crores to the company, Rs. 13.00 Crores to IRCON International Limited and Rs.10.10 Crores to Government of Jharkhand and thus the paid-up capital of JCRL as on 31.03.2021 is Rs.87.73 Crores.

CCL has prepared Consolidated Financial Statements in addition to its Standalone Financial Statements for compliance of the Section 129(3) of the Companies Act, 2013.

JCRL has earned a Profit before tax of Rs.3.03 Crores [P.Y. Rs.2.16 Crores] for the year ended 31st March 2022.

JCRL financials are not being prepared in SAP.

7.8. JCRL Board decided to convert the advance to Unsecured Loan after establishing viability of the project and acceptance of revised DPR and bankability report by JCRL Board. Later on JCRL Board decided to enhance its paid-up capital and to adjust advance of Rs.136.59 Cr with contribution payable by CCL towards equity amounting to Rs. 282.88 Cr which has also been agreed by CCL Board in its 485th meeting held on 04.05.2020. Further JCRL Board vide Meeting No. 30th dated 01.02.2021 decided to go ahead with "Interest Free Loan" option and directed to take up the matter with CCL Board.

CCL has paid an interest free loan of Rs 144.31 Cr to JCRL and adjusted Rs. 136.59 Cr incurred earlier in respect of Shivpur Kathotia Rail Line. The total interest free Loan to JCRL Rs. 280.90 as on reporting date is Rs. 280.90 Cr.



- 7.9 a) CCL has entered into a Lease Agreement with East Central Railway for use of Railway Land in for construction of Konar Siding under Bokaro & Kargali Area vide Agreement No. W466/Land lease/Konar Siding Dt. 05/06/2017. The Lease Agreement is for a period of 35 years from 01.04.2016. CCL has deposited one time Lease rental for entire period amounting to Rs. 27.19 Crores to E.C. Railway. The amount paid as Lease rentals is shown under the head 'Railway Siding' in Note 3, Property, Plant & Equipment as per the requirement of Ind As 116.
- b) CCL has entered into a Lease Agreement with East Central Railway for use of Railway Land for construction and operation of Kuju Siding under Kuju Area vide Agreement No. W466/Land leasing/KUJU SIDING Dhanbad Dt. 25/02/2021. The Lease Agreement is for a period of 35 years from 01.04.2017. One time Lease rental for entire period amounting to Rs. 95.34 Crores payable by CCL has been adjusted by E.C. Railway. The amount paid as Lease rentals is shown under the head 'Right to Use(Lease)' in Note 3, Property, Plant & Equipment as per the requirement of Ind As 116.
- 7.10 For the purpose of valuation of inventories, power cost has been distributed on the basis of internal departmental certificate to the units of the area in absence of actual consumption details.
- 7.11 Inventory of Stores & Spares are being physically verified by Store Auditors at due intervals. The verification has been complete for March-21.
- 7.12 A) Consequent upon the agreement made with Coal India Limited and President of India for allocation of coal block Kotre Basantpur and Panchmo Coal Blocks under Coal Mines (Special Provisions) Act, 2015, and subsequent allocation to CCL for operation and commercial use of mines, the company (CCL) has deposited 75% of Upfront fees amounting to Rs.30.97 Crores and fixed amount for Rs.9.91 Crores as security deposit and has furnished a Performance Bank Guarantee (Performance Security) amounting to Rs. 286.14 Crores, in designated bank account of Nominated Authority for allotment. Rs. 40.88 Crores (upfront fees Rs. 30.97 Crores and Security deposit Rs. 9.91 Crores) is appearing under Exploration Evaluation Assets in Note-5. As the conditions of prescribed guidelines for making payment of 3rd instalment have not yet been fulfilled, the balance amount of Rs. 10.33 Crores is shown under Capital Commitment.
- B) BG has been issued in favour of Member Secretary, Jharkhand State Pollution Control Board for an amount of Rs. 145.77 Crs. in respect of selected Dhori GoM, Dhori Area & Karo OCP, B&K Area to comply with the notification Dated 14.03.2017 of Ministry of Environment & Forest.
- C) BG has been issued in favour of Assistant Electrical Engineer, Electrical Supply Sub Station ChatraJBVNL for an amount of Rs. 0.81 Crs. in respect of Amrapali OCP (Binglat) & Magadh OCP (Kundi Patch) against load sanction order no 1957/ESE(S) Hazaribagh dt 22.11.2019 & 1955/ESE(S) Hazaribagh dt 22.11.2019 issued by Electrical Supdt. Engg. Electrical Supply Circle, Hazaribagh.
- 7.13 The Hon'ble Supreme Court of India, in Transferred Case (CIVIL) No. 43 of 2016 vide order dated 13.10.2017 has held that DMF will be applicable in the State of Jharkhand on and from the date of establishment of DMF Trust i.e. 07.12.2015. Accordingly, the amount of Rs. 286.31 Crores deposited with the State Govt. relating to the period prior to 07.12.2015 shall be refunded/ adjusted from the DMF payable by the company. Out of the said amount a sum of Rs.236.51 Crores has already been adjusted and balance amount of Rs.49.72 Crores is yet to be got refunded/ adjusted from the State Government. As per directive of State Govt., Areas have submitted their claim to the respective DMO for getting Refund/adjustment.
- 7.14 Against the demand of Income Tax Department regarding TCS from Road Sales Customers under section 206 C of the Income Tax Act, 1961, amounting to Rs. 106.56 Crores, the department has collected Rs.71.79 Crores by attaching the bank account of the company and the balance amount of Rs.34.77 Crores has been deposited by the company. The company in turn has recovered Rs.77.53 Crores from the customers as on balance sheet date and the balance Rs. 29.03 Crores is under process of recovery.
- Out of Rs. 29.03 Crores Rs. 26.85 Crores relates to the demand raised for the overlapping period i.e. In FY 2012-13 the alleged TCS liability of the period April, 2012 to August, 2013 i.e. for 17 months, Whereas, it should have been taken From July, 2012 to up to March, 2013 i.e. for 9 months only. In FY 2013-14 the alleged TCS liability of the period April, 2013 to August, 2014 i.e. for 17 months was taken, Whereas,



it should have been taken up to March, 2014 for 12 months only. Similarly, for FY 2017-18 the order of alleged TCS liability of the period April, 2017 to July, 2017 i.e. for 4 months was passed. But figures were taken up to August, 2017. As TCS was implemented on coal w.e.f. 01.07.2012, a rectification petition U/S 154 of Income Tax Act, 1961 has already been filed to rectify the error but till date hearing has not yet started in spite of giving several reminders to the department. However, CCL has filed writ petition before Hon'ble High Court of Jharkhand.

- 7.15 CCL used to supply Washed Medium Coking Coal (WMCC) to M/S SAIL & RINL at the price mutually agreed in MOU entered between CCL & SAIL / RINL, duly signed by the representatives of CCL & SAIL/RINL. The last such MOU was valid upto 31.03.2017. As per CIL's guidelines, CCL notified the price of WMCC as Rs. 11,500 per tonne with effect from 14/01/2017 in compliance with doctrine of Import Parity as envisaged by New Coal Distribution Policy (NCDP) of Government with bonus/penalty clause variable in line with ash content.

As the MOU was valid up to 31/03/2017, but the Price Notification was issued on 14/01/2017, a provision for the period from 14/01/2017 to 31/03/2017 for the difference of MOU price and Notified price on the quantity despatched, amounting to Rs. 155.80 Crores (Rs. 126.16 Crores in respect of SAIL and Rs. 29.64 Crores in respect of RINL) has been made in the accounts during the year 2018-19.

After repetitive requests of M/S SAIL, CCL Board in its meeting dated 28/07/2018 agreed to supply WMCC at an ad hoc price of Rs. 6,500 per tonne with a condition that the report of an external agency to be appointed/engaged for establishment of fair and transparent Price Determination Mechanism shall be applicable and SAIL/RINL has agreed with the decision of CCL Board. Accordingly work order no. Washery(CCL)/WO/Price Mechanism (WMCC)/2019/745-50 dated 08.07.2019 has been issued to M/s.PWC Pvt. Ltd to review the existing price mechanism for washed medium coking coal (WMCC). Final Report on placing before the CCL Board, directed to resubmit the report considering approach of BCCL for better holistic appreciation, which is under process.

- 7.16 The Secretary to Government, Revenue, Registration and Land Reforms Department, Government of Jharkhand vide his Letter No. 5/Sa.Bhu (CCL) Ramgarh- 303/2012-519 (5)/Ra. Dated 07/02/2020 to The Chairman, Coal India limited has raised a demand of Rs. 26218.15 crores against 36179.30 acres of Government land under the command area of CCL. The demand comprises of Rent, Cess and Salami as lease bandobasti of land for lease period.

Land is acquired by CCL as per notification issued by Central Government under Section 9(1) of CBA (A&D) Act, 1957 and physical possession is taken under Section 12 of CBA (A&D) Act, 1957 which is free from all encumbrances. Accordingly, CCL didn't agree with the demand raised by state government. However, the company as per the provisions of Section 13(5) in the Coal Bearing Areas (Acquisition and Development) Act, 1957 agrees to pay land compensation at present rural agricultural circle rate against Govt. Land to the Govt. of Jharkhand. The tentative liability for land compensation based on present rural agricultural rate comes to Rs. 778.62 Crore for 5,392.75 acres of Govt land and CCL released an adhoc payment of Rs. 1448.86 Crore has been paid.

The tentative liability of Rs. 778.62 Crore which is subject to verification by district officials has been capitalised as Other Land under PPE (Refer to Note-10 of financial statements).

A meeting was held between Hon'ble Minister of Coal & Hon'ble Chief Minister of Jharkhand on 13.11.2021 at Ranchi, further O.M. dated 24.02.2022, the discussion held on the above matter are appended as below:

"the Chief Secretary, GoJ informed that the joint verification report will be finalized in next few days and demand against the govt. land will be made taking Rural Agricultural Rate of land and per acre land compensation shall be 1.52 times the rate of land as full of final settlement.

On this issue GOI committed in-principle to pay the dues as per joint verification report and committed that as the verification report is received, officers of Ministry of Coal and Chief Secretary, Jharkhand will sit together will decide the schedule of payment and handing over of the physical possession of land."



- 7.17 Pending clearance of CTO & CTE in respect of Religara OC, Laiyo – Jharkhand OC & Rohini – Karkatta OC, the OBR accounting has not been considered as per revised Stripping Ratio.
- 7.18 In the 24th ECFD meeting held on 21.05.2021 management had decided to close the Tori Railway siding of Rajhara Area and directed HOD, S&M to take necessary action. Financial impact, if any, will be considered after completion of all formalities in this regard.
- 7.19 In compliance of the directives of the 65th ECFD meeting held on 29.10.2020, the erstwhile Magadh & Amrapali Area has been bifurcated into two separate Area viz Magadh & Sanghmitra Area and Amrapali & Chandragupta Area.

Separate Financial Statement of both the areas has been prepared for the financial year 2021-22

- 7.20 Surface Transportations Charges for lead range of 0 to 3 km charged by the company has disputed by some of the plants of NTPC.CCL has moved to AMRCD through Coal India Limited for resolution of dispute. As the matter is pending with AMRCD no provision has been considered against disputed amount of Rs. 1.94 Cr.

Further, the matter was discussed the detail during the 3rd GM Coordination held on 5th April 2022 and it was apprised that the matter is still pending with AMRCD, as there is a high probability of a decision in favor of CIL so no provision is required to be made by the subsidiaries of CIL.

- 7.21 In pursuance of Letter No CIL:D(P&IR): Sectt:/005/37/25 dated 24.04.2020 issued by Dir (P&IR), CIL the Kolkata Desk office has been closed in June' 2020. Subsequent to the closure, the Ledger balances including all the Assets comprising of Furniture & fitting & Office Equipment has been transferred in the book of HQ, CCL, Ranchi.

- 7.22 The company has considered the possible effects that may arise out of the COVID-19 pandemic in the preparation of the financial statements including the recoverability of carrying amount of financial and non-financial assets. The company has used internal and external sources of information, economic forecasts etc. and the company expects that the carrying amount of the financial and non- financial assets will be recovered. Hence, no impairment has been recognized during the year.

The company has shown a positive growth in production by 10% & offtake by 9.81% over previous year.

Realisation from customers has also been improved and gross debtors as on 01.04.2021 amounting to Rs.4213.61 Cr. Has been reduced to Rs.2969.90 Cr.

- 7.23 a) During the year the company migrated from Coal Net System to SAP and Financial Statements of the company for the year ended 31.02.2022 are prepared on the basis of SAP. SAP has been Implemented to cater the needs of various business function and also bring the end-to- end automation in various business processes/ modules and is in process/ stage of stabilization. Integration to automatically record all business transactions are continuously improving.

However, JCRL is maintaining its books of accounts in existing system and the group consolidation has been done manually.

The process of migrating the data is now under stabilization stage. Once, it is stabilization, the entire process would be audited by an outside agency after 31st March 2022.

During 3rd GM Coordination meeting held at CIL Kolkata on 5th April 2022, the competent authority apprised that the revision of scope of Internal audit is being considered by the management and it will be dealt accordingly.

- b) At the time of migration to SAP in the company, due to non-availability of any of the pre-requisite information like Vendor name, PAN, GSTIN, Address and Bank Account No. with IFSC Code in respect of non-active vendors/customers, vendor/ customer codes could not be created. However, all the balances appearing against their name in coal net system was migrated to SAP using legacy vendor/ customer codes. The balances as appearing in a particular line item of the financial statements as per Coal Net System has been kept intact in SAP as such, there is no change in presentation at all.



No entry can be directly posted under Domestic vendor/ customer codes. For posting any entry to domestic vendor/ customer, vendor/customer codes are must. This is the only reason for using legacy code at the time of migration. The very next movement vendor/ customer code is created in SAP, their respective balances are being transferred from legacy codes to their specific codes. It is appropriate to mention that it is a kind of arrangement to migrate balances appearing in coal net trial to SAP trial without leaving any difference in any account head and it is expected to be cleared in due course. There is no impact on financial statements of the company.

Others

- i. Previous year's figures have been restated, regrouped and rearranged wherever considered necessary.
- ii. Previous Year's figures in Note No. 3 to 38 are in brackets.
- iii. Note –1 and 2 represents Corporate information and Significant Accounting Policies respectively, Note 3 to 23 form part of the Balance Sheet as at 31st March, 2022 and 24 to 37 form part of Statement of Profit & Loss for the year ended on that date. Note – 38 represents Additional Notes to the Financial Statements.

In terms of our Report of even date

For and on Behalf of the Board

For K.C. TAK & Co.
Chartered Accountants
(Firm Registration no. 000216C)

Sd/-
(P. M. Prasad)
Chairman-cum-Managing Director
DIN 08073913

Sd/-
(K.R. Vasudevan)
Director (Finance)
DIN- 07915732

Sd/-
CA. Anil Jain
Partner
Membership no. 079005
UDIN: 22079005AJBJXR6440

Sd/-
(Rajendra Singh)
General Manager(Finance)/CFO

Sd/-
(Ravi Prakash)
Company Secretary

Place: Ranchi
Dated: 14 May, 2022



ADDENDUM TO DIRECTORS' REPORT

AUDITORS' REPORT	MANAGEMENT'S REPLY
To The Members Central Coalfields Limited Report on the Audit of Consolidated Ind AS financial statements Opinion We have audited the accompanying consolidated Ind AS financial statements of Central Coalfields Limited (hereinafter referred to as the 'Holding Company') and its subsidiary Jharkhand Central Railway Limited (Holding Company and its subsidiary together referred to as "the Group"), which comprise the consolidated Balance Sheet as at March 31, 2022, and the consolidated statement of Profit and Loss (including other comprehensive income), the consolidated statement of changes in equity and the consolidated cash flows Statement for the year then ended, and notes to the consolidated Ind AS financial statements, including a summary of significant accounting policies and other explanatory information (hereinafter referred to as "the consolidated Ind AS financial statements"). In our opinion and to the best of our information and according to the explanations given to us and based on consideration of report of the other auditor, the aforesaid consolidated Ind AS financial statements give the information required by the Act in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of their consolidated state of affairs of the Group as at March 31, 2022, of consolidated profit, consolidated changes in equity and its consolidated cash flows for the year then ended. Basis for Opinion We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Companies Act, 2013. Our responsibilities under those Standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Ind AS financial statements section of our report. We are Independent of the Group in accordance with the Code of Ethics issued by Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the consolidated Ind AS Financial statements under the provisions of the Companies Act, 2013 and the rules thereunder and we have fulfilled our other ethical responsibilities in accordance with these requirements and the code of ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion. Emphasis of Matters We draw attention to the following matters: a) Contingent liability of Rs. 13568.50 crores (Previous year- Rs. 13568.50 crores), towards penalty for mining of coal in excess of the environmental clearances limit in respect of 42 mines. (Note No 38 refer para 4(a)(i) to the Consolidated Ind AS financial statements). b) Balances of Loans (Note No 8), other financial assets(Note No 9), other current assets (Note no 11) & non-current assets(Note No 10), trade payables(Note No 19), trade receivables (Note No 13), other financial liabilities(Note No 20), other current liabilities(Note no. 23) and other non-current liabilities(Note No 22) have not been confirmed in most of the cases. They also include old balances lying since last several years pending for final adjustment/ square-up in the books of accounts. Consequential impact on confirmation / reconciliation/ adjustment of such balances, if any, are not currently ascertainable. Our opinion is not modified in respect of this matter. c) Washed medium coking Coal (WMCC) was being supplied by CCL at mutually agreed price under an MOU to M/s SAIL & M/s RINL. However, no MOU has been signed between CCL & SAIL/RINL for the Financial Year 2017-18 and onwards. From 1/4/2017, the price of WMCC has been revised quarterly, using an import parity-based Pricing Mechanism adopted by CCL as envisaged under New Coal Distribution Policy (NCDP) under which the CCL has been raising invoices to SAIL/ RINL as per notified price.	


AUDITORS' REPORT
MANAGEMENT'S REPLY

Due to non-execution of MOU for the Financial Year 2017-18 and onwards, SAIL/RINL requested to appointed an external agency for price fixation mechanism. Accordingly, CCL appointed PWC for fixation of a transparent import parity-based price mechanism and the matter is under process of finalization. However, under an interim arrangement w.e.f 28/07/2018, CCL agreed to supply WMCC at an ad hoc price of Rs 6500/- per tonne.

Pending fixation of a transparent import parity-based price mechanism by external agency, SAIL had requested to implement the recommendations of external agency to be made applicable from 01/04/2017 instead of 28.07.2018. However, CCL decided that the price as determined by External Agency shall be applicable w.e.f. 28/07/2018 and not retrospectively and accordingly, sales prior to applicability of ad hoc price, has been recognized at the quarterly revised notified price.

(Para 7.15 to Note 38 to the Consolidated Ind AS financial statements).

In view of the above, no adjustments have been done for the amount remaining unpaid for the difference in price against the supplies made of WMCC by CCL to SAIL/RINL for the period from 01/04/2017 to 30/06/2018 amounting to Rs. 414.87 Crores.

Our opinion is not modified in respect of this matter.

- d) Pending analysis of grade of Contaminated clean coal of 17230 MT (Previous Year- 83795 MT) is lying at Kathara Washeries since 1995- 96 presently valued at NIL (Annexure to Note No. 12 to the Consolidated Ind AS financial statements).
- e) We draw attention para 7.22 to Note 38 to the Consolidated Ind AS financial statements, which explain the impact of COVID-19 pandemic on the Group's operation and the results as assessed by the management.

Our opinion is not modified in respect of the above matter.

- f) Refer to Para 7.16 to Note 38 to the Consolidated Ind AS financial statements.

Government of Jharkhand has raised a demand of Rs. 26218.15 crores against 36179.30 acres of Government land, under the command area of CCL. The tentative liability as computed by the CCL for compensation of Govt. Land subject to verification by state Authorities is Rs. 778.62 Cr. against 5392.75 acres of land. However, pending reconciliation with the state authorities, Jharkhand Govt., the total final liability payable against the compensation of Land, is presently not ascertainable.

Our opinion is not modified in respect of these matter.

Key Audit Matters

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the Consolidated Ind AS financial statements of the current period. These matters were addressed in the context of our audit of the Consolidated Ind AS financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. We have determined the matters described below to be the key audit matters to be communicated in our report.

Sl.	Key Audit Matter	Auditor's Response
1.	Stripping Activity Expense/ Adjustment In case of opencast mining, the mine waste materials ("overburden") which consists of soil and rock on the top of coal seam is required to be removed to get access to the coal and its extraction. This waste removal activity is known as 'Stripping'. In opencast mines, the company has to incur such expenses over the life of the mine (as technically estimated).	Principal Audit Procedures: We performed the following substantive procedures: Obtained working data of Stripping Adjustment and checked that the total expense incurred during the year is allocated between Coal production and Overburden. Ensured about accuracy and completeness of expenses considered in calculation of ratio.

No Comments



AUDITORS' REPORT	MANAGEMENT'S REPLY
Therefore, as a policy, in the mines with rated capacity of one million tons per annum and above, cost of Stripping is charged on technically evaluated average stripping ratio (OB:COAL) at each mine with due adjustment for stripping activity asset and ratio-variance account after the mines are brought to revenue. Net of balances of stripping activity asset and ratio variance at the Balance Sheet date is shown as Stripping Activity Adjustment under the head Non-Current Provisions / Other Non-Current Assets as the case may be. The reported quantity of overburden as per record is considered in calculating the ratio for OBR accounting where the variance between reported quantity and measured quantity is within the permissible limits. However, where the variance is beyond the permissible limits as above, the measured quantity is considered. Refer Note 21 to Consolidated Ind AS Financial Statements.	Checked that the ratio variance is calculated on the basis of amount allocated to overburden and OB quantity extracted during the year correctly. Performed analytical procedures and test of details for reasonableness of expenses considered stripping activity adjustment calculation. Checked that the accounting policy applied and management's judgments used for Stripping Activity Adjustment are appropriate. Audit Conclusion: Our procedures did not identify any material exceptions.
2. Ind AS 115 "Revenue from Contracts with Customers" In the Consolidated Ind AS financial statements in respect of accuracy of revenue recognition and adjustments for coal quality variances involves critical estimates. The revenue recognized by the Company in a particular contract is dependent on the sale agreement / allotment in e-auction for the respective customer. Subsequent adjustments are made to the transaction price due to grade mismatch/slippage of the transferred coal. The variation in the contract price if not settled mutually between the parties to the contract is referred to third party testing and the company estimates the adjustments required for revenue recognition pending settlement of such dispute. Such adjustments in revenue are made on estimated	No Comments



AUDITORS' REPORT		MANAGEMENT'S REPLY	
3.	basis following historical trend. Refer to Note 24. to the Consolidated Ind AS Financial Statements. Assessment of provisions and contingent liabilities in respect of certain litigations including direct and indirect taxes, various claims filed by other parties not acknowledged as debt. A high level of judgment is required in estimating the level of provisioning. The company's assessment is supported by the facts of matter, their own judgment, past experience, and advice from legal and independent tax consultant wherever considered necessary. Accordingly, unexpected adverse outcomes may significantly impact the company's reported profit and net assets. Associated uncertainty relating to the outcome requires application of judgment in interpretation of law. Refer Note 38 para 4(a)(I) to the Consolidated Ind AS Financial Statements.	Audit Conclusion: Our procedures did not identify any material exceptions. Principal Audit Procedures: Our audit was focused on analyzing the facts of subject matter under consideration and judgments/ interpretation of relevant law. • Examining recent orders and/or communication received from various Tax authorities/ judicial forums and follow up action thereon. • Understanding the current status of the litigation/tax assessments • Evaluating the merit of the subject matter under consideration with reference to the grounds presented therein and available independent legal / tax advice • Review and analysis of the contentions of the company through discussion collection of details of the subject matter under consideration, the likely outcome and consequent potential outflows on those issues. Audit Conclusion: Our procedures did not identify any material exceptions.	No Comments
4.	Implementation of SAP system across the business in various stages. During the year, the Company migrated to a new IT system replacing the previous platform (i.e., coalnet system) for recording the underlying business transactions. The new system is used by the Company to record its transactions across processes and is the core IT system for financial reporting and is continuously improving. Implementation of a new IT system presents inherent risks including the loss of integrity of key financial data being migrated and the breakdown in operation or monitoring of IT dependent controls within critical business processes, could lead to financial errors or misstatements and inaccurate financial reporting. Due to the magnitude of the project and pervasive risks involved in	Principal Audit Procedure: • Discussions were held with management to understand the system, revised business processes, related controls & control activities based on new SAP /ERP system, the Company's process surrounding implementation of new IT system. • Obtained an understanding of the changes to significant business processes and key internal controls as well as IT general controls, IT access and segregation of duties. • In relation to the system migration itself, we reviewed the controls established over the implementation of new IT system and migration of key financial data from the legacy to the new IT system. • Gained an understanding of, and assessed the work performed by Internal Auditor in order to place reliance on the work performed by Internal Audit; • Performed independent test of the data migration and reconciliation between legacy systems and the new IT system for a sample of general ledger, sub-ledgers, grouping sub grouping etc. and observed that the same are in compliance to the requirements of schedule III of the Company's Act, 2013.	No Comments



AUDITORS' REPORT	MANAGEMENT'S REPLY
migrating to a new ERP system and the figures and information generated under new system may have limitation and constraints of transitional phase this has been noted as a key audit matter.	Audit Conclusion: Based on the procedures performed above the implementation of SAP has not resulted in material misstatement on the financial statements.
Information Other than the Consolidated Ind AS Financial Statements & Auditor's Report Thereon The Company's management and Board of Directors are responsible for the other information. The other information comprises the information included in the Management Discussion and Analysis, Board's Report including Annexure to Board's Report, Business Responsibility Report, Corporate Governance and Shareholder's Information, but does not include the Consolidated Ind AS financial statements and our auditor's report thereon. Our opinion on the Consolidated Ind AS financial statements does not cover the other information and we do not express any form of assurance conclusion thereon. In connection with our audit of the Consolidated Ind AS financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the Consolidated Ind AS financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information; we are required to report that fact. As the Other Information has not been provided to us, we have nothing to report in this regard. When we read the Annual report, which is expected to be made available to us after the date of this auditors' report, if we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.	
Responsibilities of Management and Those Charged with Governance for the Consolidated Ind AS financial statements The Holding Company's Board of Directors is responsible for the preparation and presentation of these consolidated Ind AS financial statements in term of the requirements of the Companies Act, 2013 that give a true and fair view of the consolidated financial position, consolidated financial performance and consolidated cash flows of the Group in accordance with the accounting principles generally accepted in India, including the Accounting Standards (Ind AS) specified under section 133 of the Act. The respective Board of Directors of the companies included in the Group are responsible for maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Group and for preventing and detecting frauds and other irregularities; selection and application of appropriate implementation and maintenance of accounting policies; making judgments and estimates that are reasonable and prudent; and the design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring accuracy & completeness of the accounting records, relevant to the preparation and presentation of the consolidated Ind AS financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error, which have been used for the purpose of preparation of the consolidated Ind AS financial statements by the Directors of the Holding Company, as aforesaid. In preparing the consolidated Ind AS financial statements, the respective Board of Directors of the companies included in the Group are responsible for assessing the ability of the Group to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so. The respective Board of Directors of the companies included in the Group are responsible for overseeing the financial reporting process of the Group.	



AUDITORS' REPORT

MANAGEMENT'S REPLY

Auditor's Responsibility for the Audit of the Consolidated Ind AS Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated Ind AS financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, Individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated Ind AS financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of Consolidated Ind AS financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal financial controls relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the Group has adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the Consolidated Ind AS financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the Consolidated Ind AS financial statements, including the disclosures, and whether the Consolidated Ind AS financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

Materiality is the magnitude of misstatements in the Consolidated Ind AS financial statements that, Individually or in aggregate, makes it probable that the economic decisions of a reasonably knowledgeable user of the Consolidated Ind AS financial statements may be influenced. We consider quantitative materiality and qualitative factors in (i) planning the scope of our audit work and in evaluating the results of our work; and (ii) to evaluate the effect of any identified misstatements in the Consolidated Ind AS financial statements

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding Independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our Independence, and where applicable, related safeguards.



AUDITORS' REPORT	MANAGEMENT'S REPLY
From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the Consolidated Ind AS financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.	
Other Matter	
(a) We did not audit the financial statements / financial information of subsidiary company, whose financial statements / financial information reflect total assets of Rs.451.48 Cr. as at 31st March, 2022, total revenues of Rs. 3.14 Cr. and net cash flows amounting to Rs. 53.07 Cr. for the year ended on that date, as considered in the consolidated Ind AS financial statements These financial statements / financial information have been audited by other auditors whose reports (revised) have been furnished to us by the Management and our opinion on the consolidated Ind AS financial statements, in so far as it relates to the amounts and disclosures included in respect of these subsidiaries, and our report in terms of sub-sections (3) and (11) of Section 143 of the Act, in so far as it relates to the aforesaid subsidiaries, is based solely on the reports of the other auditors.	No Comments.
(b) As per the accounting policy "company stipulates the defined contribution plan in which company pays fixed contribution into the fund i.e., Coal Mine Provident Fund constituted under an enactment of law. The Coal Mines Provident Fund and Miscellaneous Provision Act 1948 stipulates that employee deployed in a coal mine should have to be registered under Coal Mines Provident Fund and Coal Mines Pension Scheme regulated under the above act. The coal workers deployed by company in departmental mode are employees of company and are registered under the above act. However, the coal workers deployed in company's mines by its outsourcing contractors are registered under Employee Provident Fund (EPF) which is deviation & Non-compliance of provision of above Act. The matter is being dealt by CIL as a whole.	The matter has been taken up at CIL.
(c) As per the clause 9.2 of Model Fuel Supply Agreement (FSA) & clause 8.2 of FSA with NTPC plants, it allows to charge coal transportation charges against the supply of coal to its customer located beyond the distance of 3 kms. CCL is charging the coal transportation charges for lead range of 0-3 km. However, some of the areas of NTPC has disputed the claims of transportation charges for the part of lead range of 0-3 kms taking plea of FSA clause. As such, as explained by management the outstanding from these plants are recoverable and therefore provision, if any will be made after the outcome of AMRCD decision. Therefore, no adjustment have been done for the amount of Rs. 1.94 Cr. as disputed by NTPC. As per minutes of the 3rd GM (F) Co-ordination meeting held on 05th April, 2022 at Coal India Limited, Coal Bhawan, the matter is taken up by CIL for resolution of dispute and pending with AMRCD.	The matter has been taken up by CIL at AMRCD on behalf of all the subsidiaries for resolution of dispute.
(d) EC Railway has informed that Railway Board had approved to regularize the land Licensing Fees / Leasing charge for the Railway Land used by the CCL for past many years for operation of 11 private sidings. Accordingly, Demand was raised for payment of outstanding fees / charge of Rs. 138.88 Crores. As despite several reminders from Railways, no payment was made by the CCL. EC Railway adjusted the outstanding dues from capital advances amount deposited for Tori-Shivpur line by the Company. As per the explanation and information provided to us, the total advance of Rs. 138.88 Crores was unilaterally adjusted by EC Railway out of which Rs. 95.34 Crores related to Land Licensing fees of Kuju Siding has been accepted by the company and taken in the books of accounts. Balance amount of Rs. 43.54 Crores are still in under dispute and the matter has been taken up by CIL on behalf of all subsidiaries with Railway Board. Consequential Impact of final outcome of the dispute is not ascertainable.	The matter related to unilaterally adjustment has been taken up by CIL with Railway Board for its reconciliation and adjustment. However, out of total advance of Rs. 138.88 Crores was unilaterally adjusted by EC Railway Rs. 95.34 Crores related to Land Licensing fees of Kuju Siding has been accepted by the company and taken in the books of accounts.



AUDITORS' REPORT	MANAGEMENT'S REPLY
(e) Contingent liability of Rs. 20667.40 Crores (P.Y. Rs. 19660.06 Crores) includes disputed demands raised by various departments of the Central Government (Income Tax, Excise, Service Tax, Others) and State Government (VAT, Royalty, Environment, Others). This amount consists of principal, interest and penalty as raised up to the date of the latest demand order. The interest and penalty for the period from the latest date of demand order to date of Balance Sheet has neither been calculated nor included in contingent liability. Consequential impact over total amount of contingent liability is currently not ascertainable (Note No 38 refer para 4(a)(i) to the Consolidated Ind AS financial statements.)	The management has reviewed the contingent liability and relied upon the opinion of legal experts and it has been suitably disclosed in financial statements as per requirement of Ind As-37.
(f) Refer Note No. 23 – “Other Current Liabilities” – includes liability of Service Tax for Rs 16.32 Crores lying since past several years in the books of accounts. As per the information and explanation provided to us, the matter is related with the issue raised by the then Service Tax Department wherein amount of service tax paid under reverse charge under GTA services were disputed and litigated on the ground of covering the same under Mining Services / Cargo handling which is subject to forward charge. The department at then issued notices to the various service providers and CCL was also attached as co-noticee. After the matter become litigated, CCL continued with providing its liability under GTA as per the terms of concerned work orders wherein total liability were provided to the tune of Rs. 16.32 Crores at the Company level. Since, no order/communication is received till date either from the Appellate authority of service tax or related service providers, the same is being still appearing in the books of accounts. Pending such order/communication from the Appellate authority of service tax, adjustments, if any, needed in books of accounts is currently not ascertainable.	The dues are under litigation and its further treatment is dependent upon outcome of the case.
(g) Refer Note No. 35 “Other Expenses” – include Demurrage expenses of Rs 39.29 Crores (Previous year- 21.20 Crores). Demurrage liability of Rs 199.70 Crores (Previous year – Rs. 163.33 Crores) (under Note No. 19 – “Trade Payables”) and Demurrage advance of Rs 59.85 Crores (Previous year – Rs. NIL) (under Note No. 11 – Other Current Assets – Advance for Revenues) is appearing in the books of accounts of the Company. As per the information and explanation provided to us, Demurrage Liability is being communicated by siding managers on basis of Demurrage hours duly signed by Railway officials. Accordingly, Demurrage expense and Demurrage liability is recorded in the books of accounts. During the year, protest was raised by siding managers, when discrepancy found on railways claim. In order to ensure smooth supply of coal to the power sectors, Company made an ad-hoc payment of Rs. 59.85 Crores to the Railways. Hence, Trade Payables as well as Other Current assets is being shown separately in the financial statements. Reconciliation is under process with the railways and accordingly ad-hoc payment will be adjusted with the Demurrage liability. Pending such reconciliation any adjustment to the total liability (actual and or contingent liability) or total assets are not ascertainable.	The dues are under reconciliation.
(h) We have placed reliance on: - The mine closure plan prepared by the Central Mine Planning and Design Institute Limited (CMPDIL) and approved by the management of the CCL for the purpose of making provision towards Mine Closure expenses. - The Management's evaluation/estimates, whether technical or otherwise for making the provision towards impairment of fixed assets. (i) Our report on the Consolidated Financial Statements dated May 14, 2022 as approved by the Board of Directors of the Company is revised to incorporate observations made by the Comptroller and Auditor General of India and amendment to add points '(iv) (a), (b), & (c)' & (v) (a), (b), & (c)' in “Clause ‘3’, Para (j) and amendment made in “auditor's reply column in S.No.3”, under “Part II, Additional directions in Annexure ‘A’” to amend & add at the end of Para, starting with “In respect of Pindra OC Mines, Escrow account has not been opened due to non-availability of approved PR & MCP” under “Report on other Legal and Regulatory Requirements” and adding the word ‘(Revised)’ after the word ‘Reports’ in point ‘a’ & in the last Para under “other matter Paragraph”, in point ‘b’ & ‘c’ of Clause 3 under “Report on other Legal and regulatory Requirements” in “Report on the Internal financial Controls	



AUDITORS' REPORT

MANAGEMENT'S REPLY

over Financial Reporting under Clause (i) of Subsection 3 of section 143 of the Companies Act, 2013 ("the Act") of Annexure B" under "Report on other Legal and Regulatory Requirements", and adding point (i) 'this Para' under the "other matters Paragraph."

This audit Report has no impact on the reported figures in the Consolidated financial Statements of the Company. This audit report supersedes the original audit report on Consolidated financial Statements dated May 14, 2022.

Our audit procedures on events subsequent to the date of original report is restricted solely to addition of points '(iv) (a), (b), & (c)' and '(v) (a), (b) & (c)' in clause '3', Para (j)" and amendment made in "auditor's reply column of S.No. 3, under "Part-II,-Additional directions in Annexure 'A'" under "Report on other Legal and Regulatory Requirements" and adding the word '(Revised)' after the word 'Reports' in point 'a' of and in the last para under the "other matter paragraph", in point "b" & 'c' of clause 3 under "Report on other Legal and Regulatory Requirements" & in "Report on the Internal financial Controls over Financial Reporting under Clause (i) of Subsection 3 of section 143 of the Companies Act, 2013 ("the Act") of Annexure B" under "Report on other Legal and Regulatory Requirements", and adding Point (i) under the "other matters Paragraph" of Independent Auditor's Report on the Consolidated Financial Statements.

Our opinion on the consolidated financial statements, and our report on Other Legal and Regulatory Requirements below, is not modified in respect of the above matters with respect to our reliance on the work done and the reports of the other auditors and the financial statements / financial information certified by the Management.

Report on Other Legal and Regulatory Requirements

1. As required under Section 143(5) of the Companies Act, 2013, we give in the "Annexure-A", a statement on the directions issued by The Comptroller and Auditor General of India after complying with their suggested methodology of Audit, the action taken thereon and its impact on the accounts and financial statements of the Group.
2. With respect to the matters specified in Paragraphs 3(xxi) and Paragraph 4 of the Companies (Auditor's Report) Order, 2020 ("CARO") issued by the Central Government of India in terms of Section 143(II) of the Act, to be included by us and for its Subsidiary included in the Consolidated financial Statements of the Company issued by other auditor, to which reporting under CARO is applicable, which requires us to report the Clause numbers of the CARO Reports of the Group Companies where any qualification or adverse remarks has been reported by the respective auditors, we report as below:

SI	Name	CIN	Holding Co./ Subs./ Associate/ JV	Clause no. of the CARO report which is qualified or adverse
1	CCL	U10200JH1956GOI000581	Holding Co.	Clause 3(i) (a) (A) 3(i)(c) 3(ii)(a) 3(ii)(b) 3(ix)(a)
2	JCRL	U45201JH2015GOI00313	Subsidiary Co.	Nil

3. As required by section 143(3) of the Act, we report that:
 - a. We have sought & obtained all the information & explanation which to best of our knowledge and belief were necessary for purpose of our audit of the aforesaid consolidated Ind AS financial statements read with as reported in clauses (a), (b), (c), (d), (e) & (f) of the "Emphasis of Matters" paragraph above.
 - b. In our opinion, proper books of account as required by law relating to preparation of the aforesaid consolidated Ind AS financial statements have been kept so far as it appears from our examination of those books and the reports(revised) of the other auditors.

**AUDITORS' REPORT****MANAGEMENT'S REPLY**

- c. The reports (revised) on the accounts of the Holding company (including areas which are audited by branch auditors) audited by us and its subsidiary company incorporated in India audited under section 143(8) of the Act by other auditor have been sent to us and have been properly dealt with in preparing this report.
- d. The Consolidated Balance Sheet, the Consolidated Statement of Profit and Loss, and the Consolidated Cash Flow Statement dealt with by this Report are in agreement with relevant books of account maintained for the purpose of preparation of the consolidated IndAS financial statements.
- e. In our opinion, we don't have any observation which has an adverse impact on functioning of the group.
- f. In our opinion, the aforesaid consolidated Ind AS financial statements comply with the Accounting Standards specified under Section 133 of the Act.
- g. In pursuance of the Notification No. G.S.R.463(E) dated 05.06.2015 issued by the Ministry of Corporate affairs, section 164(2) of the Act, pertaining to disqualification of Directors is not applicable to the Government company.
- h. We don't have any qualification, reservation or adverse remark relating to the maintenance of accounts and the matters connected therewith.
- i. With respect to the adequacy of internal financial controls over financial reporting of the Group and the operating effectiveness of such controls, refer to our separate report in Annexure 'B'. Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Group's internal financial controls over financial reporting.
- j. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditor's) Rules, 2014, as amended, in our opinion and to the best of our information and according to the explanations given to us:
- Pending litigations of the group has been disclosed under Additional Note 38 of the Consolidated Ind AS financial statement. The impact, if any, of these litigations will be given effect to as and when the same are determined/settled.
 - Provision has been made as required under the applicable law or accounting standards, for material foreseeable losses if any, on long term contracts including derivative contracts.
 - As per the written representation received from the management, there were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Group.
 - (a) The Management has represented that, to the best of its knowledge and belief no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the company to or in any other person or entity, including foreign entity ("intermediaries"), with the understanding, whether recorded in writing or other wise, that the intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the company ("ultimate Beneficiaries") or provide any Guarantee, Security or the like on behalf of the ultimate Beneficiaries;
(b) The Management has represented, that to the best of its knowledge and belief no funds have been received by the company from any person or entity, including foreign entity ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, the company shall, whether, directly or indirectly, lend or invest in other person or entities identified in any manner whatsoever by or on behalf of the funding party ("ultimate Beneficiaries") or provide any Guarantee, Security or the like on behalf of the ultimate Beneficiaries;
(c) Based on such audit procedures that have been considered reasonable and appropriate in the circumstance, nothing has come to our notice that has caused to believe that representations under Sub-Clause(i) and (ii) of Rule 11(c), as provided under (a) and (b) above, contain any material misstatement.



AUDITORS' REPORT	MANAGEMENT'S REPLY
v. (a) The final dividend proposed in the previous year, declared and paid by the company during the year is in accordance with section 123 of the Act, as applicable. (b) The interim dividend declared and paid by the Company during the year is in compliance with Section 123 of the Act. (c) The Board of Directors of the company have proposed final dividend for the year which is subject to the approval of the members at the ensuing Annual General Meeting. The amount of dividend proposed is in accordance with Section 123 of the Act, as applicable.	
Place: Ranchi. Dated :24.06.2022	For K.C.Tak & CO. CHARTERED ACCOUNTANTS, (Firm Registration No. 000216C) (CA Anil Jain) Partner (M. NO. 079005) UDIN: 22079005ALOCFH3384



Annexure "A" referred to in paragraph 1 of "Report on Other Legal and Regulatory Requirements" of Independent Auditor's Report on the Consolidated Ind AS financial statements for the year ended March 31, 2022, we report that:

AUDITORS' REPORT	MANAGEMENT'S REPLY
1. Whether the company has system in place to process all the accounting transactions through IT systems? If yes, the implication of processing of accounting transaction outside IT system on integrity of the accounts along with the financial implication, if any may be stated. <i>During the year, the company from existing Legacy (CoalNet) system, switched-over to New SAP- ERP system to process all the material accounting transaction through IT System and recording of all underlying business transactions is done in its SAP-ERP Software. Accordingly, there are no implications on the integrity of the accounts. The information/Data is flowing from various modules and captured in the financials through automation under SAP for the processes like Financial Accounting and Controlling (FICO), Sales and Distribution (S&D), Material Management (MM), Human Capital Management (HCM), Production Planning (PP), Project System (PS) and Plant Maintenance (PM). The SAP-ERP is in the process of stabilization and is under continuous improvement.</i> <i>An understanding of the changes occurred to significant business processes and key internal controls as well as IT general controls were made and observed that a few more controls would be required on final implementation with a change in scope of Audit of Internal Audit in this regard.</i> <i>During the course of our audit, it was observed that, following activities are performed, outside SAP:</i> <i>1. Financial Statements of CCL is being generated through a programme called Business Intelligence (BI) which is integrated to SAP. Grouping of GL has been updated but linking of the same is in progress at CIL Level. As an interim arrangement grouping of BI is being used for preparation of Financial Statements.</i> <i>2. Stock Valuation: Valuation of stock is done manually.</i> <i>3. OBR Adjustment: OBR Adjustment is computed manually.</i> <i>4. Actuary Valuation: After getting the figures of Actuarial Liability it is being manually allocated between areas.</i> <i>For item no. 2 3 & 4 accountal is done by passing necessary Journal Entry made in SAP.</i> <i>5. Liability related to Finance Module for which no MB is recorded e.g., Electricity, Audit Exp., Misc. petty Exp. etc. These liabilities are not captured through GR/SR as such liabilities are directly considered in FICO Module.</i> <i>6. Other applications such as Vehicle Tracking system, File Tracking System, SURPAC, MINEX, Auto Cad and CCTV monitoring system are continued functioning in the current form without any integration with the ERP system.</i> <i>In respect of the activities performed outside SAP, as above, in our opinion there is no material financial implications.</i> 2. Whether there is any restructuring of an existing loan or cases of waiver / write-off of debts / loans /interest etc. made by a lender to the company due to the company's inability to repay the loan? If yes, the financial impact may be stated. Whether such cases are properly accounted for? (In case, lender is a government company, then this direction is also applicable for statutory auditor of lender company)	During the year the company migrated to SAP from Coal Net System and at present all the transections are being captured through SAP.



AUDITORS' REPORT		MANAGEMENT'S REPLY
	<i>As per information and explanations given to us, there is no such case of restructuring of an existing loans or cases of waiver/write off of debts/loans/interest etc. made by a lender to the company's inability to repay the loan during the year or any period of time, hence not applicable.</i>	No Comments.
3.	Whether funds received/receivable for specific schemes from central/state agencies were properly accounted for/ utilized as per its terms and conditions? List the cases of deviation. <i>As per information and explanation given to us, CCL used to receive the stowing Subsidy from CCO under ministry of Coal. For the last three years CCL has not received any such subsidy/ Grant.</i> <i>Grant received from CCDAC against contribution of Tori Shivpur Rail Line & strengthen of road at NK Area has been received up to 30.09.2019 and the same is recognized in income on the basis of the life of the asset as per IndAs (refer to Note-22). No grant has been received during the financial year 2021-22 from CCDAC.</i>	No Comments.



PART- II

ADDITIONAL DIRECTIONS

AUDITORS' REPORT	MANAGEMENT'S REPLY
1. Whether coal stock measurement was done keeping in view the contour map. Whether physical stock measurement reports are accompanied by contour maps in all cases? Whether approval of the competent authority was obtained for new heap, if any created during the year. <i>As per information and explanation given to us, stock measurements are done as per guideline of CIL Annual Coal Stock Measurement keeping in view the contour map which is accompanied with the measurement report. Further, any new heap is created only after approval of the competent authority.</i>	No Comments
2. Whether the company has conducted physical verification exercise of assets and properties at the time of merger/split/re-structure of any area. If so, whether the concerned subsidiary followed the requisite procedure. <i>As per information & Explanations provided to us, Empowered Committee of Functional Directors (ECFD) of CCL, in its meeting held on 31.10.2020, in order to ensure better administrative control and supervision decided to restructure 'Magadh & Amrapali Area by splitting it into two separate areas namely "Magadh & Sangh Mitra Area" and "Amrapali & Chandragupta Area", and accordingly notification was issued. The company has conducted physical verification exercise of assets and properties at the time of split up following the requisite procedure. The effective date of split-up was done based on the financials as on 31st Dec 2021.</i>	No Comments
3. Whether separate escrow accounts for each mine have been maintained in CIL and its subsidiary companies. Also examine the utilization of the fund of the account. <i>As per information and explanation given to us, Escrow Account for 64 mines has been maintained and during the year, the CCL has received sum of Rs. 35.30 crores (P.Y.- Rs. 194.42 crores) for mine closure activities after obtaining approval from the Coal Controller Office. However, Escrow account in respect of 2 mines namely Tapin South OC and Rajhara OC have not yet been opened. In respect of Pindra OC mines, Escrow account has not been opened due to non-availability of Approved PR & MCP.</i>	No Comments
4. Whether the impact of penalty for illegal mining as imposed by the Hon'ble Supreme court has been duly considered and accounted for? <i>Pursuant to the order of the Hon'ble Supreme Court of India, District Mining Offices of Jharkhand had raised a demand of Rs. 13568.50 crores (PY Rs. 13568.50 crores) for mining in excess of the environmental clearances limit in 42 mines. Against the said demand, CCL has filed a revision petition before the Hon'ble Coal Tribunal, Ministry of Coal, Govt. of India, the adjudicating authority under the MMDR Act. The Revisional Authority vide its interim order dt.16.01.2018 has stayed the execution of the demand till further order. The said demand has not been acknowledged as debt and included under Contingent Liability in para 4(a)(i) of Note 38 of the Consolidated Ind AS financial statement.</i>	No Comments



Annexure – "B" referred to in paragraph 3(g) of "Report on Other Legal and Regulatory Requirements" of Independent Auditor's Report on the Consolidated Ind AS financial statements for the year ended March 31, 2022, we report that;

Report on the Internal Financial Controls Over Financial Reporting under Clause (i) of Subsection 3 of Section 143 of the Companies Act, 2013 ("the Act")

AUDITORS' REPORT	MANAGEMENT'S REPLY
In conjunction with our audit of the consolidated financial statements of the Company as of and for the year ended March 31, 2022, we have audited the internal financial controls over financial reporting of Central Coalfields Limited hereinafter referred as ("the Holding Company"), and considered reports (revised) of auditors of its subsidiary company, which are companies incorporated in India, as of that date. Management's Responsibility for Internal Financial Controls The respective Board of Directors of the Holding Company, its subsidiary company, which are companies incorporated in India, are responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India ('ICAI'). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Companies Act, 2013. Auditors' Responsibility Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, issued by ICAI and deemed to be prescribed under section 143(10) of the Companies Act, 2013, to the extent applicable to an audit of internal financial controls, both applicable to an audit of Internal Financial Controls and, both issued by the Institute of Chartered Accountants of India. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting was established and maintained and if such controls operated effectively in all material respects. Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures select depend on the auditor's judgment, including the assessment of the risks of material misstatement of the Consolidated Ind AS financial statements, whether due to fraud or error. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.	

**AUDITORS' REPORT****MANAGEMENT'S REPLY****Meaning of Internal Financial Controls Over Financial Reporting**

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of Consolidated Ind AS financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of Consolidated Ind AS financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorizations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorized acquisition, use, or disposition of the company's assets that could have a material effect on the Consolidated Ind AS financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st March, 2022, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India.

However, further improvement is required in i) the documentation of Internal Financial Controls of the Company in respect of its risk assessment process, risk analysis of different functional areas and incorporating the process flows at departmental levels including risk mitigation in respect of insurance coverage, ii) strengthening of the monitoring of controls in respect of misc. expenses, confirmation/ reconciliation/adjustment of other financial assets, other current & non-current assets, trade payables and receivables, other financial liabilities and other current and non-current liabilities.

Our opinion is not qualified in respect of the above matters.

For K.C.Tak & CO.
CHARTERED ACCOUNTANTS,
(Firm Registration No. 000216C)

(CA Anil Jain)
Partner
(M. No. 079005)
UDIN: 207900JALOCFH3384

Place: Ranchi.
Dated :24.06.2022



Form AOC - 1

(Pursuant to first proviso to sub-section (3) of section 129 read with rule 5 of Companies (Accounts) Rules, 2014)

Statement containing salient features of the financial statement of Subsidiaries/ associate companies/Joint ventures

Part "A" : Subsidiaries

(Information in respect of each subsidiary to be presented with amounts in Rs. in Crores)

1. Sl.	:	1
2. Name of the Subsidiary	:	Jharkhand Central Railway Limited
3. The date since when subsidiary was acquired	:	31.08.2015
4. Reporting period for the subsidiary concerned, if different from the holding company's reporting period	:	NA
5. Reporting currency and Exchange rate as on the last date of the relevant Financial year in the case of foreign subsidiaries	:	NA
6. Share Capital	:	Rs. 87.73 Crores
7. Instrument entirely equity in nature	:	Rs. 355.90 Crores
8. Reserves & Surplus	:	Rs. 5.14 Crores
9. Total Assets	:	Rs. 451.48 Crores
10. Total Liabilities	:	Rs. 2.71 Crores
11. Investments	:	-
12. Turnover	:	-
13. Profit before Taxation	:	Rs. 3.03 Crores
14. Provision for Taxation	:	Rs. 1.01 Crores
15. Profit after Taxation	:	Rs. 2.02 Crores
16. Proposed Dividend	:	-
17. Extent of Share holding (in percentage)	:	73.67%

Company Secretary

General Manager (F)

CORPORATE
OVERVIEW

STATUTORY
REPORTS

FINANCIAL
STATEMENTS

NOTES

Handwriting practice lines consisting of 30 horizontal dotted lines.



CENTRAL COALFIELDS LIMITED

A Miniratna Company

(A Subsidiary of Coal India Limited)

(CIN: U10200JH1956GOI000581)

Regd. Office : Darbhanga House,
Ranchi - 834 029
JHARKHAND



@CCLRanchi



@CentralCoalfieldsLimited



centralcoalfieldLtd



Central Coalfields Limited



@cclranchi